

FROM EPS TO ROIC

Net income or earnings per share (EPS) has been distorted in recent years by factors like stock-option grants and accounting gains and charges. To see how much a company is truly earning on the capital it deploys in its businesses, look beyond EPS to ROIC, or return on invested capital. Christopher Davis of the Davis Funds defines it with this formula:

$$\text{ROIC} = \frac{\text{Owner Earnings}}{\text{Invested Capital}},$$

where Owner Earnings is equal to:

Operating profit

plus depreciation

plus amortization of goodwill

minus Federal income tax (paid at the company's average rate)

minus cost of stock options

minus "maintenance" (or essential) capital expenditures

minus any income generated by unsustainable rates of return on pension funds (as of 2003, anything greater than 6.5%)

and where Invested Capital is equal to:

Total assets